# Differing Priors and Information Acquisition When Others Make the Decision*

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**Abstract**

Should you pay more for information when someone else will act on it instead of you? Standard Bayesian theory predicts it should not matter, and this paper tests that prediction experimentally.

In a laboratory experiment, pairs face the Bayesian decision problem of purchasing a signal about a binary state. I elicit first- and second-order posterior beliefs to evaluate the effects of different priors on belief updating. Then, I independently vary (i) whether participants share common or differing prior beliefs when eliciting their posteriors, and (ii) whether the information purchaser is also the final decision-maker.

Three main results emerge. First, participants expect others to update beliefs similarly to themselves, also when the two beliefs are elicited from different people. Second, sensitivity to information predicts willingness to pay (WTP): participants who put more weight on the signal bid more to implement their own strategy. Third, two behavioral patterns shape WTP. Participants exposed to differing priors bid more to implement their own strategy than the other participant's, a premium absent with common priors, although the difference between treatments is not statistically established; and WTP does not respond to the prior as theory predicts.

Because participants expect others to update like themselves, this premium is not explained by the instrumental value of the strategy, which is consistent with a non-instrumental value of decision rights that becomes salient when beliefs may differ. This has implications for organizational information acquisition and delegation design.

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